THE NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (Court-II), CHANDIGARH
(Through Hybrid Mode)

CP (CAA) No.58/Chd/Hry/2022
(2nd Motion)

IN THE MATTER OF SCHEME OF AMALGAMATION OF:
Bibby Financial Services (India) Private Limited
…Petitioner Company/ Transferor Company

With

Bibby FS (Holdings) Limited, UK
…Non-Petitioner Company/ Transferee Company

Under Section: 230-232 and 234 of the Companies Act, 2013 r/w Companies (Compromises, Arrangements and Amalgamation) Rules, 2016, Foreign Exchange Management (Cross Border Merger) Regulations, 2018 and other relevant provisions, if any.

Order delivered on 13.06.2024

CORAM:
SHRI. UMESH KUMAR SHUKLA, HON'BLE MEMBER (T)
DR. P.S.N. PRASAD, HON'BLE MEMBER (J)

PRESENT:

For the Petitioner Companies: Mr. Pardeep Nauharia, Advocate

ORDER

The counsel for the petitioner is present. The matter listed for clarification is taken up and the issue on which the clarification is needed as under:-

(i) Regional Director, Ministry of Corporate Affairs, in its report filed vide Diary No.1709/5 dated 23.01.2023 has pointed out that in reply to the observations of Report of the Registrar of Companies dated

27.10.2022 with regard to outstanding dues of creditors, statutory liabilities, short-term provisions and contingent liabilities, Petitioner Company has submitted that these liabilities have been paid.

It is noted that in the First Motion Application, the Applicant Company had submitted a Certificate dated 03.09.2021 of CA Deepak Chopra, Partner of Bhambri Chopra & Pashkarna, Chartered Accountants certifying Nil Secured and Unsecured Creditors as on 10.08.2021. However, the perusal of Audited Financial Statements as on 31.03.2021 as well as provisional Financial Statements as on 31.12.2022 shows the liabilities as shown below:

	LIABILITIES	**31.12.2021**	**31.03.2021**
1A	**Trade Payables**	**1,00,892**	**42,96,568**
1B	**Other Current Liabilities**		
	Statutory Dues	**2,23,809**	**80,084**
1C	**Short-Term Provisions**		
	Provision for Exp-MS	24,81,333	-
	Provision for Gratuity	2,44,115	10,87,758
	Sub-total 1C	**27,25,448**	**10,87,758**
Total 1	**Total (1A to 1C)**	**30,50,149**	**54,64,410**
B	**Contingent Liabilities**	Not available as complete Balance Sheet not submitted	**Refer Note 25**
B1	Arbitral proceeding with a customer		**81,06,591**
B2	Arbitral proceeding with a customer		7,78,862
Total 2	**Total (2A to 2B)**		**88,85,453**
	TOTAL LIABILITIES		**1,43,49,863**

The Counsel for the Petitioner Companies is directed to clarify the same and to furnish the audited financial statements for the years 2021-22 and 2022-23.

(ii) As per Regulation 9(2) of Foreign Exchange Management (Cross Border Merger) Regulations, 2018, a certificate from the Managing

Director/Whole Time Director and Company Secretary, if available, of the company(ies) concerned ensuring compliance to these Regulations shall be furnished along with the application made to the NCLT under the Companies (Compromises, Arrangement or Amalgamation) Rules, 2016. However, the certificate has been furnished only by Anoop Kumar Prabhakar, Director of the Applicant Company and not by the Company Secretary. The Petitioner Companies are directed to file the appropriate certificate(s) as prescribed under the above rules of the companies signed by the Managing Director/Whole Time Director and Company Secretary.

(iii) The Regulation 9(2) of Foreign Exchange Management (Cross Border Merger) Regulations, 2018 provides for exemption for Cross Border Merger only under section 234 of the Companies Act, 2013. However, it is noted that the applicant company was holding the NBFC license upto 30.04.2021 (appointed date 01.04.2021) and Reserve Bank of India (RBI) would be the sectoral regulator in the case and notice to RBI needs to be issued under section 230(5) of the Companies Act, 2013. Therefore, notice may be served upon the RBI pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The representation/s, if any, may be made by the RBI to this Tribunal with a copy to the petitioner Company(ies), within a period of 30 days from the date of receipt of the notice, failing which it shall be presumed that they have no representation to make on

the proposed Scheme and this tribunal will proceed further with the approval of the Scheme.

The counsel for the petitioner has prayed for grant of two week days' time. Time prayed for is granted. Let the matter be listed for 01.07.2024.

Sd/-

(UMESH KUMAR SHUKLA)
HON'BLE MEMBER (T)

Sd/-

(P.S.N. PRASAD)
HON'BLE MEMBER (J)